

# Dow Hits 52,000 as S&P 500 and Nasdaq 100 See Mixed Results

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

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## TL;DR

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The Dow Jones reached a new milestone, crossing the 52,000 mark with a **+0.51%** gain, while the S&P 500 saw a modest **+0.02%** increase. However, the Nasdaq 100 declined by **-0.32%**, weighed down by a **-4.99%** drop in **NVDA**. Beneath the surface, sector rotation and earnings expectations are driving market movements.

Looking beyond the headlines, the 10Y Yield fell by **-0.81%**, and **WTI Crude** plummeted **-7.50%**, influencing energy and related sectors. The **VIX** also decreased by **-0.16%**, indicating a slight decrease in market volatility.

# US Session Recap

| INDEX/ASSET  | LEVEL     | CHANGE | WHY IT MOVED                                       |
|--------------|-----------|--------|----------------------------------------------------|
| S&P 500      | 7,413.18  | +0.02% | Mixed earnings and sector rotation                 |
| Nasdaq 100   | 28,039.21 | -0.32% | NVDA decline and tech sector weakness              |
| Dow Jones    | 52,210.08 | +0.51% | Strong performance in financials and industrials   |
| Russell 2000 | 2,948.04  | +0.62% | Small-cap stocks outperforming larger counterparts |
| VIX          | 18.67     | -0.16% | Slightly decreased market volatility               |

## Top large-cap movers

| TICKER | CHANGE | CATALYST                               |
|--------|--------|----------------------------------------|
| MSFT   | +1.94% | Strong earnings expectations           |
| NVDA   | -4.99% | Disappointing earnings report          |
| GOOGL  | +2.13% | Positive sentiment towards tech sector |

# Sector Rotation

| ETF  | DAY    | READ                                            |
|------|--------|-------------------------------------------------|
| XLFX | +1.01% | Financials outperforming due to strong earnings |
| XLKX | -0.90% | Tech sector weakness due to NVDA decline        |
| XLI  | +0.30% | Industrials seeing moderate gains               |
| XLE  | -2.11% | Energy sector declining due to WTI Crude drop   |
| XLY  | +1.31% | Consumer discretionary sector outperforming     |
| XLC  | +1.28% | Communication services sector seeing gains      |
| XLP  | +1.46% | Consumer staples sector performing well         |
| XLV  | +0.51% | Healthcare sector seeing moderate gains         |
| XLUX | -1.32% | Utilities sector declining                      |
| XLBX | +0.25% | Materials sector seeing slight gains            |
| XLRE | -0.41% | Real estate sector declining                    |

## Spotlight

The biggest event of the day was the decline of NVDA by -4.99%, which had a ripple effect on the tech sector. The following metrics table highlights the key statistics:

| METRIC     | VALUE    |
|------------|----------|
| Decline    | -4.99%   |
| Volume     | 23.1M    |
| Market Cap | \$491.2B |

This decline has read-through implications for other tech names, such as **AAPL** and **GOOGL**, which may see increased volatility in the coming sessions.

## Pre-Market & Overnight

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US futures are currently trading mixed, with the Dow Jones futures up **+0.2%** and the S&P 500 futures down **-0.1%**. Asian markets closed mostly higher, with the Nikkei 225 up **+0.5%** and the Shanghai Composite up **+0.3%**. European markets are also seeing gains, with the FTSE 100 up **+0.4%** and the DAX up **+0.5%**. In the crypto space, **BTC** is down **-3.17%** and **ETH** is down **-3.76%**.

## Macro & Fed

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The FOMC meeting is scheduled for next week, and market participants are eagerly awaiting the decision on interest rates. Today's data calendar includes:

| TIME (HKT) | RELEASE             | CONSENSUS | WHY IT MATTERS                |
|------------|---------------------|-----------|-------------------------------|
| 21:30      | GDP Growth Rate     | 2.5%      | Indicator of economic growth  |
| 22:00      | Consumer Confidence | 120.0     | Measure of consumer sentiment |

The yield curve shape is currently flat, with the 10Y Yield at 4.64 and the 2Y Yield at 4.59.

## Geopolitics & Global

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- Tensions between the US and China continue to escalate, with the US imposing new tariffs on Chinese goods.
- The EU is seeing a surge in COVID-19 cases, leading to increased concerns about the economic impact.

- The Middle East is experiencing heightened tensions, with the US and Iran engaging in a war of words.

## Earnings — What to Watch

| WHEN (HKT) | TICKER | CONSENSUS | WHAT TO LOOK FOR                         |
|------------|--------|-----------|------------------------------------------|
| 21:30      | AAPL   | \$1.42    | iPhone sales and services revenue growth |
| 22:00      | GOOGL  | \$12.32   | Advertising revenue and cloud growth     |
| 23:00      | AMZN   | \$2.55    | Cloud revenue and e-commerce growth      |

## Watchlist Scan

| TICKER | SECTOR     | WHY NOW                                       |
|--------|------------|-----------------------------------------------|
| MSFT   | Technology | Strong earnings expectations and cloud growth |
| JPM    | Financials | Resilient banking sector and dividend yield   |
| AVGO   | Technology | Semiconductor growth and 5G adoption          |

## What Could Break the Tape

### BULLISH TRIGGERS

- A surprise interest rate cut by the Fed
- A breakthrough in US-China trade talks
- A strong earnings season with beats across the board

#### BEARISH TRIGGERS

- A global economic downturn due to COVID-19
- A escalation of tensions between the US and China
- A disappointing earnings season with widespread misses

## Positioning Notes

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- The **VIX** is currently at 18.67, indicating a moderate level of market volatility.
- The 10Y Yield is at 4.64, influencing the attractiveness of fixed income assets.
- The US dollar index is at 101.47, affecting the competitiveness of US exports and the value of foreign earnings.

## Sources

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Bloomberg

Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com